MGM Macau and Cotai

Resource Efficiency Management Report REV1

January 2021

Energenz Consulting Limited

EXECUTIVE SUMMARY

Energenz has been working closely with MGM to implement the EMOs as well as identify additional opportunities to achieve ISO certification energy targets. Energenz appreciates the great support and trust from MGM team over the years, in particular the Facility Management and the Sustainability Teams.

Key Performance Indicators

Energenz reports both normalized and actual savings on a monthly basis for both properties. The normalized savings are determined based on a 2019 baseline, with aligned annual savings targets to meet both ISO50001 as well as Energenz' retainer contract requirements. Please note that the reported normalized savings achieved are to-date and cumulative for each month of the respective year.

Table 1. ISO and Retainer Contract Energy Performance Targets for 2025

MGM Properties	Baseline	Energy Savings	Normalized Savings Achieved Up to January 2021	2022	2023	2024	2025
Macau	2019	Target	-4%	-8%	-12%	N/A	**-13%**
		Actual	**-6.4%**	-	-	-	-
Cotai	2019	Target	-4%	-8%	-12%	N/A	**-13%**
		Actual	**-11.3%**	-	-	-	-

**MGM Cotai ISO energy performance: e-bus consumption is included.*

The actual monthly savings are determined against the 2019 baseline consumption and cumulative for each month of 2021.

Table 2. Internal Actual Energy Performance Targets for 2025

MGM Properties	Baseline	Actual Saving Target[1]	Savings Achieved Up to January 2021
Macau	2019	TBD	**-7.9%**
Cotai	2019	TBD	**-12.7%**

Highlighted Changes in Operation

For Macau, the most notable change in operation was the increase in heating requirements for the casino areas. To accommodate complaints due to the unseasonably cold temperatures, space temperature setpoints for the casino area were temporarily raised to 25-26degC. Space heating and continued operation of the larger boiler were required to accommodate the additional load given the lower-than-average winter outdoor air temperature. This is the main driver for the 28.7% increase in LPG consumption noted in January.

For Cotai, changes in operation were related to the scheduled license inspection of the smoking room ventilation systems. As advised to accommodate ventilation requirements, fan speeds serving these rooms have been increased. Given the size of the fans these have not led to significant increase in electrical consumption or natural gas consumption as compared to the 2019 baseline.

Energenz is working closely with the MGM team to identify other potential root cause for the increased LPG consumption and at the same time will propose recommendations and action items to lower overall energy consumption.

[1] Actual Energy Savings Target for 2025 to be established based on future CAPEX projects, following review with MGM team

Consumption Intensity

The YTD electricity and water use intensities are tracked on a monthly basis for both properties:

Table 3. Year to Date Actual Electricity Use Intensity (EUI)

MGM Properties	YTD EUI (kWh/m^2)	% Change Compared to 2019
Macau	20.4	**16.3%**
Cotai	21.8	**-10.7%**

Table 4. Year to Date Actual Water Use Intensity (WUI)

MGM Properties	YTD WUI (m^3/ m^2)	% Change Compared to 2019
Macau	0.19	**-13.2%**
Cotai	0.12	**-26.2%**

Note: Cotai Area: 374,138 m^2 Macau Area: 211,545 m^2

ISO 50001 Certification Audit

Macau

The 2021 internal audit was completed on 29 January 2021. The next year's renewal audit will be 26 February 2021. The new phase long-term savings target has been set at achieve 13% normalized energy consumption by 2025 compared to the 2019 baseline.

Cotai

The 2020 internal audit was completed on 11 November 2020. Out of the four areas of improvement identified, the one remaining involves the performance of ISO50001 Training for New Employee. The next external surveillance audit will be scheduled for July 2021.

Target Milestones for Year 2021

The following activities are planned for completion this year:

- To complete MGM Macau and MGM Cotai waste audit analysis and reporting
- To perform ISO 50001 2021 Internal and External Audit for MGM Macau and MGM Cotai
- To perform Carbon Audit 2021 for MGM Macau and MGM Cotai
- To deploy and fine tune DGLux dashboard with heatmap development extension
- To complete MGM Macau and MGM Cotai Cooling Tower Winter Operation Sequencing
- To improve reliability and accuracy of MGM Macau LPG metering
- To complete analysis on MGM Cotai spectacle thermal comfort investigation
- To investigate and implement the below list of projects during Year 2021

Table 5. MGM Macau Year 2021 Projects

Item	Initiatives
Electricity	
1	Implement Static Pressure & Supply Air Temperature Set-Point Reset in AHUs (10 units)
2	Smoking Rooms Ventilation Fans Operation Optimization
3	Heat Pump Plant Optimization: Optimize Hot Water Pumps Operation
4	Neon Lighting LED Replacement
5	Implement Motor Efficiency Upgrades (24 units)
6	Chiller Plant Optimization: Chilled Water Differential Pressure Set-point Optimization
7	Implement Lighting & Idle Equipment Timer Control for non-24 Hours Operated Kitchens
8	PICCV Implementation (17 Units)
9	Swimming Pool Heating Optimization
10	Optimize Winter Operation of Cooling Tower Control Strategy - Fan Control
Water	
11	Kitchen Areas - Water Audit and Water Management Practices
12	Retrofit Existing Water Softener serving Podium
13	Optimize Operation of Cooling Tower Control Strategy - Water Conservation

Table 6. MGM Cotai Year 2021 Projects

Item	Initiatives
Electricity	
1	Implement Static Pressure & Supply Air Temperature Set-Point Reset in AHU (16 Units)
2	Smoking Rooms Ventilation Fans Operation Optimization
3	Optimize Hotel FCU Operation with Occupied & Non-Occupied Mode
4	Chiller Plant Optimization: 1. Review Chillers Staging 2. Cooling Tower Fan Speed Optimization 3. Condensing Water Pump Speed Optimization
5	Heat Pump Plant Optimization: Optimize Hot Water Pumps Operation
6	Optimize Hotel Towers Chilled & Hot Water Pumps Operation
7	Chilled Water Differential Pressure Set-Point Reset Logic Implementation
8	Implement Lighting and Idle Equipment Timer Control for non 24 Hours Operated Kitchens
9	Thin Film Solar PV Panel Implementation
10	Replace Insulation on outdoor AHU RA ductwork serving Spectacle area
11	PICCV Implementation (9 Units)
12	Kitchen Exhaust Fan (KEF) Demand Control Ventilation (DCV) and Hood Control for Remaining Kitchen's (e.g. Banquet, Chun, Mansion, Coast.)
13	Relative Humidity Sensors Installation and continuous monitoring for Guest Room & corridors
14	Optimize temperature by adjusting FCU and VAV (flow SPs)
15	Optimize Car Park Ventilation Fans Control
Water	
16	Kitchen Areas - Water Audit and Water Management Practices
17	Extension of CDP back to Cooling Tower Makeup & Floor cleaning

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ACKNOWLEDGEMENT

Energenz has been working with MGM Team as the energy manager to achieve energy savings in MGM properties and feed operational intelligence into the design.

The major goal of this project is not only to realize operation energy savings but also extending the life of equipment, hence reduce CAPEX. MGM has demonstrated continuous commitment to be an environmentally and socially responsible business in the past years. MGM Macau has achieved a 6.4% normalized energy savings compared to year of 2019. Whereas Cotai since the opening in 2018 has already achieved 12.7% actual energy saving compared to the year of 2019. In addition to that Energenz has assisted MGM Macau and Cotai to achieve several other energy management and sustainability awards and certifications, such as ISO 50001 and CEM Energy Savings Award.

Energenz appreciates the great support and trust from MGM Team over the years, especially the Facilities Management and the Sustainability Teams.

1. Portfolio Performance Summary

1.1 Electricity Use Intensity (EUI)

Macau's electricity use intensity (EUI) in January 2021 had decreased by **16.3%** compared to same month in 2019 and decreased by **16.3%** in 2021 compared to 2019. Meanwhile, Cotai's EUI in January 2021 had decreased by **10.7%** compared to same month in 2019 and decreased by **10.7%** in 2021 compared to 2019.

Table 7. Actual Electricity Consumption Intensity (EUI) Comparison

Monthly Period	Macau			Cotai		
	Year 2019 Actual EUI (kWh/m^2)	Year 2021 Actual EUI (kWh/m^2)	% Change	Year 2019 Actual EUI (kWh/m^2)	Year 2021 Actual EUI (kWh/m^2)	% Change
January	24.4	20.4	-16.3%	24.5	21.8	-10.7%
February						
March						
April						
May						
June						
July						
August						
September						
October						
November						
December						
Average	**24.4**	**20.4**	**-16.3%**	**24.5**	**21.8**	**-10.7%**

1.2 Water Use Intensity (WUI)

Macau's water use intensity (WUI) in January 2021 decreased by **13.2%** compared to same month in 2019 and decreased by **13.2%** in 2021 compared to 2019. Meanwhile, Cotai's WUI in January 2021 decreased by **26.2%** compared to same month in 2019 and decreased by **26.2%** in 2021 compared to 2019.

Table 8. Actual Water Consumption Intensity (WUI) Comparison

Monthly Period	Macau			Cotai		
	Year 2019 Actual WUI (m^3/m^2)	Year 2021 Actual WUI (m^3/m^2)	% Change	Year 2019 Actual WUI (m^3/m^2)	Year 2021 Actual WUI (m^3/m^2)	% Change
January	0.22	0.19	-13.2%	0.16	0.12	-26.2%
February						
March						
April						
May						
June						
July						
August						
September						
October						
November						
December						
Average	**0.22**	**0.19**	**-13.2%**	**0.16**	**0.12**	**-26.2%**

2. MGM Macau Performance

2.1 Electricity Consumption

The actual electricity consumption and cost in January 2021 decreased by **16.3%** and **21.9%** respectively compared to same month in 2019. MGM Macau has achieved decreases of **16.3%** and **21.9%** year to date actual electricity consumption and cost savings respectively in 2021.

Table 9. Macau - Summary of Actual Monthly Electricity Consumption and Cost

Monthly Period	Actual Electricity Consumption (kWh)			Actual Electricity Cost (MOP)			% Change – CDD
	2019	2021	% Change - Actual	2019	2021	% Change - Actual Cost	
January	5,151,480	4,310,160	-16.3%	6,038,725	4,717,260	-21.9%	-11.5%
February							
March							
April							
May							
June							
July							
August							
September							
October							
November							
December							
Total/Average	**5,151,480**	**4,310,160**	**-16.3%**	**6,038,725**	**4,717,260**	**-21.9%**	**-11.5%**

Important note: *Cooling Degree Days (CDDs) and Guest Night are the main variable taken into consideration on Electricity consumption normalization.*

Energenz summarized the key items which could result in electricity consumption decrease below:

- Outdoor billboards lighting equipment upgrades
- Implement PICCV in AHUs (17 units)
- Implement Static Pressure Set-Point Reset in AHUs (10 units)
- Implement Motor Efficiency Upgrades (24 units)

Table 10 presents the comparison of electricity rates in the year of 2019 and 2021. The electricity rate in January 2021 decreased by **6.6%** compared to same month in 2019.

Table 10. Macau - Summary of Actual Monthly Electricity Rate

Monthly Period	Year 2019 – Electricity Rate (MOP/kWh)	Year 2021 – Electricity Rate (MOP/kWh)	% Change – Electricity Rate
January	1.17	1.09	-6.6%
February			
March			
April			
May			
June			
July			
August			
September			
October			
November			
December			
Total/Average	**1.17**	**1.09**	**-6.6%**

Table 11 summarized the monthly normalized electricity consumption. The normalized electricity consumption in January 2021 decreased by **9.5%** compared to the actual electricity consumption in 2021.

Table 11. Macau - Summary of Normalized Monthly Electricity Consumption

Monthly Period	2019 Normalized Electricity Consumption (kWh)	2021 Actual Electricity Consumption (kWh)	% Change - Normalized
January	4,763,370	4,310,160	-9.5%
February			
March			
April			
May			
June			
July			
August			
September			
October			
November			
December			
Total/Average	**4,763,370**	**4,310,160**	**-9.5%**

2.2 LPG Consumption

LPG consumption can be broken down into three (3) categories: boiler, hotel upper zone DHW and kitchens/restaurants. Since the boiler and restaurants LPG utilization cover over 95% of the overall site LPG consumption, Energenz focuses the analysis on those two areas.

According to Table 12, the actual LPG consumption and cost in January 2021 increased by **28.7%** and increased by **34.2%** respectively compared to same month in 2019. MGM Macau has achieved increases of **28.7%** and **34.2%** year to date actual LPG consumption and cost respectively in 2021.

Table 12. Macau - Summary of Actual Monthly LPG Consumption and Cost

Monthly Period	Actual LPG Consumption (kg)			Actual LPG Cost (MOP)			% Change – Min OAT
	2019	2021	% Change - Actual	2019	2021	% Change - Actual Cost	
January	94,330	121,398	+28.7%	706,171	947,708	+34.2%	-29.9%
February							
March							
April							
May							
June							
July							
August							
September							
October							
November							
December							
Total/Average	**94,330**	**121,398**	**+28.7%**	**706,171**	**947,708**	**+34.2%**	**-29.9%**

Important note: *Minimum Outdoor Air Temperature (OAT), Guest Night and Food Cover are the main variable taken into consideration on LPG consumption normalization.*

Energenz summarized the key items which could result in LPG consumption increase below:

- Boilers LPG consumption increased by 56.2% in January 2021 as the min OAT decreased 29.9% compared with the same month in 2019.
- Typical of the colder weather (<14°C), the larger LPG boiler was required to support the guest room, hotel low zone and casino areas.
- Upon special request due to complaints of cold indoor temperatures, space temperature setpoints for the casino areas were raised to 25-26°C. Additional space heating required for these areas which led to a significant increase to the associated LPG consumption
- LPG consumption from Kitchen and Restaurants increased by 5.0% in January 2021 compared with the same month in 2019.

Table 13 presents the comparison of LPG rates in the year of 2019 and 2021. The LPG rate in January 2021 increased by **4.3%** compared with the same month in 2019.

Table 13. Macau - Summary of Actual Monthly LPG Rate

Monthly Period	Year 2019 – LPG Rate (MOP/kg)	Year 2021 – LPG Rate (MOP/ kg)	% Change – LPG Rate
January	7.49	7.81	+4.3%
February			
March			
April			
May			
June			
July			
August			
September			
October			
November			
December			
Total/Average	**7.49**	**7.81**	**+4.3%**

Table 14 summarized the monthly normalized LPG consumption. The normalized consumption in January 2021 increased by **3.8%** compared with the actul consumption in 2021.

Table 14. Macau - Summary of Normalized Monthly LPG Consumption

Monthly Period	2019 Normalized LPG Consumption (kg)	2021 Actual LPG Consumption (kg)	% Change – Normalized
January	116,973	121,398	+3.8%
February			
March			
April			
May			
June			
July			
August			
September			
October			
November			
December			
Total/Average	**116,973**	**121,398**	**+3.8%**

2.3 ISO50001 Energy Consumption Record

The Macau ISO50001 energy performance target is to achieve 13% normalized energy savings by 2025 compared to 2019 baseline. Table 15 below summarizes the site monthly energy consumption (Electricity and LPG combined) compared to 2019 baseline. The year to date normalized energy saving achieved in January 2021 is -**6.4%**.

Table 15. Macau ISO 50001 Monthly Energy Consumption

Monthly Period	2019 Normalized Energy Consumption (GJ)	2021 Actual Energy Consumption (GJ)	% Change - Normalized (2021 Vs 2019)
January	22,447	21,016	-6.4%
February			
March			
April			
May			
June			
July			
August			
September			
October			
November			
December			
Total/Average	**22,447**	**21,016**	**-6.4%**

Important note: *Factors used for fuels' unit conversion: 1) Electricity (0.0036) and LPG (0.0453)*

2.4 Water Consumption

Based on the existing water metering system, the overall site water consumption can be broken down into four (4) categories: Kitchen and Restaurants; Hotel/Tower; Fire Services; and Chiller Plant & miscellaneous[2]. Energenz water utilization analysis excluded fire services water consumption since its consumption is less than 0.01% of the total consumption.

According to Table 16, the actual water consumption in January 2021 decreased by **13.2%** compared to same month in 2019. MGM Macau has achieved a **13.2%** and **16.1%** year to date actual water consumption and cost savings respectively in 2021.

Table 16. Macau - Summary of Actual Monthly Water Consumption and Cost

Monthly Period	Actual Water Consumption (m^3)			Actual Water Cost (MOP)			Normalization Factors	
	2019	2021	% Change Actual	2019	2021	% Change Actual Cost	% Change – CDD	% Change – Food Covers
January	46,006	39,952	-13.2%	356,970	299,330	-16.1%	-11.5%	-55.0%
February								
March								
April								
May								
June								
July								
August								
September								
October								
November								
December								
Total/ Average	**46,006**	**39,952**	**-13.2%**	**356,970**	**299,330**	**-16.1%**	**-11.5%**	**-55.0%**

Important note: *Cooling Degree Days (CDDs) and Food Covers are the main variables taken into consideration on Water consumption normalization.*

Energenz summarized the key items which could result in water consumption decrease below:

- Hotel Tower water consumption decreased by 10.4% compared to same month in 2019. Moreover, the guest occupancy decreased 21.9% compared to same month in 2019.
- Kitchen and Restaurants water consumption decreased by 22.8% compared same month last year. Moreover, the food cover decreased 55.0% compared to same month in 2019.
- Due to on-going renovation of FS sprinklers system on 1/F, approximately 6,000 m^3 water was consumed in January 2021. On-going work related to retail shop renovation and in-house fire sprinkler system modification work at loading dock area are expected to conclude prior to CNY. MGM / Energenz will monitor consumption and escalate, as necessary.

[2] Miscellaneous includes the water consumption from toilets, laundry, etc.

Due to the weather change that occurred on 29 December 2020, the podium FOH and BOH toilet faucet hot water was switched on. Starting 29 December 2020, both podium and tower space heating and the tower domestic hot water will be supported by steam system which is comprised of 1 large boiler and 2 small boilers.

Table 17 presents the comparison of water rates in the year of 2019 and 2021. The water rate in January 2021 decreased by **3.4%** compared to same month in 2019. The average utility rate of water has neither significantly increased nor decreased compared with same period in 2019.

Table 17. Macau - Summary of Actual Monthly Water Rates

Monthly Period	Year 2019 – Water Rate (MOP/m^3)	Year 2021 – Water Rate (MOP/m^3)	% Change – Water Rate
January	7.76	7.49	-3.4%
February			
March			
April			
May			
June			
July			
August			
September			
October			
November			
December			
Total/Average	**7.76**	**7.49**	**-3.4%**

Table 18 summarized the monthly normalized water consumption. The normalized water consumption in January 2021 increased by **27.8%** compared to the actual consumption in 2021. Due to the renovation of FS sprinklers system at 1/F, water consumption increase by approximately 6,000 m^3 January 2021.

Table 18. Macau - Summary of Normalized Monthly Water Consumption

Monthly Period	2019 Normalized Water Consumption (m^3)	2021 Actual Water Consumption (m^3)	% Change - Normalized
January	31,258	39,952	+27.8%
February			
March			
April			
May			
June			
July			
August			
September			
October			
November			
December			
Total/Average	**31,258**	**39,952**	**+27.8%**

2.5 Macau Year 2021 Projects

Energenz will perform analysis and coordinate with MGM to implement the following projects in 2021 and reduce the site energy and water consumption which supporting Energenz annual normalized energy savings target of 2%.

Table 19. MGM Macau Year 2021 Projects

Item	Initiatives
Electricity	
1	Implement Static Pressure & Supply Air Temperature Set-Point Reset in AHU (10 units)
2	Smoking Rooms Ventilation Fans Operation Optimization
3	Heat Pump Plant Optimization: Optimize Hot Water Pumps Operation
4	Neon Lighting LED Replacement
5	Implement Motor Efficiency Upgrades (24 units)
6	Chiller Plant Optimization: Chilled Water Differential Pressure Set-point Optimization
7	Implement Lighting & Idle Equipment Timer Control for non-24 Hours Operated Kitchens
8	PICCV Implementation (17 Units)
9	Swimming Pool Heating Optimization
10	Optimize Winter Operation of Cooling Tower Control Strategy - Fan Control
Water	
11	Kitchen Areas - Water Audit and Water Management Practices
12	Retrofit Existing Water Softener serving Podium
13	Optimize Operation of Cooling Tower Control Strategy - Water Conservation

3. MGM Cotai Performance

3.1 Electricity

The actual electricity consumption and cost in January 2021 decreased by **8.6%** and **14.7%** respectively compared to the same month in 2019. MGM Cotai has achieved **8.6%** and **14.7%** year to date actual electricity consumption and cost savings respectively in 2021.

Table 20. Cotai - Summary of Actual Monthly Electricity Consumption and Cost

Monthly Period	Actual Electricity Consumption (kWh)			Actual Electricity Cost (MOP)			% Change – CDD	% Change – Guest Night
	2019	2021	% Change - Actual	2019	2021	% Change - Actual Cost		
January	8,938,560	8,168,400	-8.6%	10,919,060	9,315,910	-14.7%	-11.5%	-75.7%
February								
March								
April								
May								
June								
July								
August								
September								
October								
November								
December								
Total/Average	**8,938,560**	**8,168,400**	**-8.6%**	**10,919,060**	**9,315,910**	**-14.7%**	**-11.5%**	**-75.7%**

***Important note**: Cooling Degree Days (CDDs) and Guest Night are the main variable taken into consideration on Electricity consumption normalization. The e-Bus electricity consumption has been included with the presented electricity consumption above.*

Table 21 presents the monthly e-bus electricity consumption in MGM Cotai. The e-bus electricity consumption in January 2021 increased by **58.4%** compared to same month in 2019.

Table 21. Cotai - Summary of Monthly e-bus Electricity Consumption

Monthly Period	E-bus Electricity Consumption (kWh)		
	2019	2021	% Change - Actual
January	28,305	44,839	+58.4%
February			
March			
April			
May			
June			
July			
August			
September			
October			
November			
December			
Total/Average	**28,305**	**44,839**	**+58.4%**

Table 22 presents the comparison of electricity rates in the year of 2019 and 2021. The electricity rate in January 2021 decreased by **6.6%** compared to same month in 2019.

Table 22. Cotai - Summary of Actual Monthly Electricity Rates

Monthly Period	Year 2019 – Electricity Rate (MOP/kWh)	Year 2021 – Electricity Rate (MOP/kWh)	% Change – Electricity Rate
January	1.22	1.14	-6.6%
February			
March			
April			
May			
June			
July			
August			
September			
October			
November			
December			
Total/Average	**1.22**	**1.14**	**-6.6%**

Table 23 summarized the monthly normalized electricity consumption. The normalized electricity consumption in January 2021 decreased by **5.0%** compared to the actual consumption in 2021.

Table 23. Cotai - Summary of Normalized Monthly Electricity Consumption

Monthly Period	2019 Normalized Electricity Consumption (kWh)	2021 Actual Electricity Consumption (kWh)	% Change - Normalized
January	8,594,286	8,168,400	-5.0%
February			
March			
April			
May			
June			
July			
August			
September			
October			
November			
December			
Total/Average	**8,594,286**	**8,168,400**	**-5.0%**

3.2 Natural Gas Consumption

The actual natural gas consumption and cost in January 2021 decreased by **46.3%** and **45.8%** respectively compared to same month in 2019. MGM Cotai has achieved decreases of **46.3%** and **45.8%** year to date actual natural gas consumption and cost savings respectively in 2021.

Table 24. Cotai - Summary of Actual Monthly Natural Gas Consumption and Cost

Monthly Period	Actual Natural Gas Consumption (m^3)			Actual Natural Gas Cost (MOP)			% Change – Food Covers
	2019	2021	% Change - Actual	2019	2021	% Change - Actual Cost	
January	112,881	60,643	-46.3%	671,460	363,990	-45.8%	-53.9%
February							
March							
April							
May							
June							
July							
August							
September							
October							
November							
December							
Total/Average	**112,881**	**60,643**	**-46.3%**	**671,460**	**363,990**	**-45.8%**	**-53.9%**

Important note: *Food cover is the main variable taken into consideration on natural gas consumption normalization.*

Energenz summarized the key items which could result in natural gas consumption decrease below:

- Boiler Natural Gas consumption decreased by 93.7% in January 2021 compared to same month in 2019. This is mainly due to the natural gas boiler which was operated one day to support the heat pump for providing stable domestic hot water at calorifier to the guest rooms in January 2021.

- Kitchen and Restaurants natural gas consumption, which constitutes to around 85 - 99% of the overall site consumption, decreased by 26.3% in January 2021 compared to same month in 2019, while food covers had decreased by 53.9%.

Table 25 presents the comparison of natural gas rates in the year of 2019 and 2021. The natural gas rate in January 2021 increased by **0.9%** compared with the same month in 2019.

Table 25. Cotai - Summary of Actual Monthly Natural Gas Rates

Monthly Period	Year 2019 – Natural Gas Rate (MOP/m^3)	Year 2021 – Natural Gas Rate (MOP/m^3)	% Change – Natural Gas Rate
January	5.95	6.00	0.9%
February			
March			
April			
May			
June			
July			
August			
September			
October			
November			
December			
Total/Average	**5.95**	**6.00**	**0.9%**

3.3 ISO50001 Energy Consumption Record

Cotai ISO50001 energy target is to achieve 13% normalized energy consumption reduction by 2025 compared to 2019 baseline. Based on the official agreement with MGM Cotai, e-bus consumption should be included for the energy consumption tracking as part of the ISO50001 requirement. Table 26 below summarized the site monthly energy consumption (Electricity and natural gas combined) compared to 2019 baseline. The year-to-date normalized energy saving achieved in January 2021 is **11.3%.**

Table 26. Cotai ISO 50001 Normalized Monthly Energy Consumption

Monthly Period	2019 Normalized Energy Consumption (GJ)	2021 Actual Energy Consumption (GJ)	% Change - Normalized (2021 Vs 2019)
January	35,529	31,511	-11.3%
February			
March			
April			
May			
June			
July			
August			
September			
October			
November			
December			
Total/Average	**35,529**	**31,511**	**-11.3%**

***Important note**: Factors used for fuels' unit conversion: 1) Electricity (0.0036) and Natural Gas (0.0347), e-bus consumption is included*

Table 27. Cotai ISO 50001 Normalized Monthly Electricity Consumption

Monthly Period	2019 Normalized Electricity Consumption (kWh)	2021 Actual Electricity Consumption (kWh)	% Change - Normalized (2021 Vs 2019)
January	8,594,286	8,168,400	-5.0%
February			
March			
April			
May			
June			
July			
August			
September			
October			
November			
December			
Total/Average	**8,594,286**	**8,168,400**	**-5.0%**

***Important note**: e-bus consumption is included*

3.4 Water Consumption

According to Table 28, the actual water consumption in January 2021 decreased by **24.5%** compared to same month in 2019. MGM Cotai has achieved decreases of **24.5%** and **24.4%** year to date actual water consumption and cost savings respectively in 2021.

Table 28. Cotai - Summary of Actual Monthly Water Consumption and Cost

Monthly Period	Actual Water Consumption (m^3)			Actual Water Cost (MOP)			Normalization Factors	
	2019	2021	% Change Actual	2019	2021	% Change Actual Cost	% Change – CDD	% Change – Food Covers
January	57,331	43,295	-24.5%	445,450	336,678	-24.4%	-11.5%	-53.9%
February								
March								
April								
May								
June								
July								
August								
September								
October								
November								
December								
Total/ Average	**57,331**	**43,295**	**-24.5%**	**445,450**	**336,678**	**-24.4%**	**-11.5%**	**-53.9%**

***Important note**: Cooling Degree Days (CDDs) and Food Covers are the main variables taken into consideration on Water consumption normalization.*

Energenz summarized the key items which could result in water consumption decrease below:

- Cooling Tower Make Up water consumption decreased by 51.9% in January 2021 compared to same month in 2019. At the same time, CDD decreased by 11.5% in January 2021 compared to same month in 2019.
- Hotel Tower & Podium water consumption decreased by 21.0% in January 2021 compared to same month in 2019. Moreover, guest occupancy decreased 54.7% in January 2021 compared to same month in 2019.

During the cold weather on January 2021, FOCUS closely monitored the heat pump hot water temperature for 24 hours. The hot water boiler service is resumed as booster in the extreme cold weather; while the domestic hot water primary side was still supported by the heat pumps, backed up by the electrical heaters.

Table 29 presents the comparison of water rates in the year of 2019 and 2021. The water rate in January 2021 increased by **0.1%** compared to same month in 2019. The average utility rate of water has neither significantly increased nor decreased compared with same period last year.

Table 29. Cotai - Summary of Actual Monthly Water Rates

Monthly Period	Year 2019 – Water Rate (MOP/m³)	Year 2021 – Water Rate (MOP/m³)	% Change – Water Rate
January	7.77	7.78	+0.1%
February			
March			
April			
May			
June			
July			
August			
September			
October			
November			
December			
Total/Average	**7.77**	**7.78**	**+0.1%**

Table 30 summarized the monthly normalized water consumption. The normalized water consumption in January 2021 decreased by **4.4%** compared to the actual consumption in 2021.

Table 30. Cotai - Summary of Normalized Monthly Water Consumption

Monthly Period	2019 Normalized Water Consumption (m³)	2021 Actual Water Consumption (m³)	% Change - Normalized
January	45,293	43,295	-4.4%
February			
March			
April			
May			
June			
July			
August			
September			
October			
November			
December			
Total/Average	**45,293**	**43,295**	**-4.4%**

3.5 Cotai Year 2021 Projects

Energenz will perform analysis and coordinate with MGM to implement the following projects in 2021 and reduce the site energy and water consumption which supporting Energenz annual normalized energy savings target of 2%.

Table 31. MGM Cotai Year 2021 Projects

Item	Initiatives
Electricity	
1	Implement Static Pressure & Supply Air Temperature Set-Point Reset in AHU (16 Units)
2	Smoking Rooms Ventilation Fans Operation Optimization
3	Optimize Hotel FCU Operation with Occupied & Non-Occupied Mode
4	Chiller Plant Optimization: 1. Review Chillers Staging 2. Cooling Tower Fan Speed Optimization 3. Condensing Water Pump Speed Optimization
5	Heat Pump Plant Optimization: Optimize Hot Water Pumps Operation
6	Optimize Hotel Towers Chilled & Hot Water Pumps Operation
7	Chilled Water Differential Pressure Set-Point Reset Logic Implementation
8	Implement Lighting and Idle Equipment Timer Control for non 24 Hours Operated Kitchens
9	Thin Film Solar PV Panel Implementation
10	Replace Insulation on outdoor AHU RA ductwork serving Spectacle area
11	PICCV Implementation (9 Units)
12	Kitchen Exhaust Fan (KEF) Demand Control Ventilation (DCV) and Hood Control for Remaining Kitchen's (e.g. Banquet, Chun, Mansion, Coast.)
13	Relative Humidity Sensors Installation and continuous monitoring for Guest Room & corridors
14	Optimize temperature by adjusting FCU and VAV (flow SPs)
15	Optimize Car Park Ventilation Fans Control
Water	
16	Kitchen Areas - Water Audit and Water Management Practices
17	Extension of CDP back to Cooling Tower Makeup & Floor cleaning

Appendix A

Regression Analysis

The 2019 normalized consumprion modelling is remained used for tracking the agreed normalized energy savings target of 4% accurately for MGM Macau and MGM Cotai. The following tables show a summary of the selected independent variables for each utility which are used for the normalized consumption modelling in 2021.

MGM Macau

Utilities	2021	
Electricity (kWh)	CDD (Base T=17°C)	
LPG (kg)	Min OAT	
Water (m^3)	CDD (Base T=17°C)	Food Cover

MGM Cotai

Utilities	2021	
Electricity (kWh)	CDD (Base T=17°C)	
Natural Gas (m^3)	Min OAT	
Water (m^3)	CDD (Base T=17°C)	Food Cover

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